

Riding on price hike benefits

AI-driven demand strength and pricing uplift continue to flow through; maintain Buy and raise TP

Action: Maintain Buy and raise TP to TWD2,115, implying ~34% upside

We raise 2026F/27F/28F EPS for TUC by 20%/24%/23% to factor in continued AI/server strength (ASIC, networking, and power supply), improved operating scale, and more importantly, price hikes. TUC's strong QTD revenue is a reflection of a smoother-than-expected input cost pass-on and more favorable pricing schemes, in our view, and we expect 43% q-q growth in 2Q26F revenue and another 19% q-q in 3Q26F, mainly supported by price hikes and a richer production mix crowding out lower-tier materials. In our view, the AI ASIC project will continue to ramp up from 2Q26F, and would account for 5-6% of TUC's 2026F revenue. Although our observations in the upstream supply chain suggest an AI ASIC customer of TUC might undergo rather lukewarm chip unit growth into 2027F because of resource constraints (*report*), we believe TUC could still grow 2027F topline, leveraging the increased demand from 400G/800G networking switches and thick-copper power boards, given its healthy market share in those areas – we tentatively assume another c.40% unit growth for 400G+800G in 2027F after c.50% in 2026F. In addition, the AI PCB/CCL industry supply is already tight and a further worsening supply/demand imbalance into 2H26F could drive another round of price actions by CCL makers. Given TUC's smaller operating scale than other AI CCL makers, we think the company's earnings growth is very elastic to pricing tailwinds. We reiterate our Buy rating and raise TP to TWD2,115 (from TWD1,710), based on 30x (unchanged) 2027F EPS of TWD70.5. The target multiple is at the high end of TUC's historical band 10-33x, as we believe the worsening CCL industry shortage should support a broad-based sector rerating, notably for qualified players, such as TUC, with exposure to AI. TUC currently trades at 24x 2027F EPS.

Capacity expansion manifests TUC's conviction in demand

TUC is building new factories in both Changshu and Thailand, for 600k sheets/month addition each. The factories, scheduled to come onstream in 2H27E, have a total capex budget of c.TWD11bn. We also note that TUC has the optionality to launch an extra 900k sheets/month in Thailand in 2028 – if all comes through, we estimate TUC could broadly double its installed capacity over 2025-28F. Compared to its reserved plan prior to 2025 and considering TUC's scale, we think the company's decision to build greenfield capacity underpins the conviction in AI.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	30,340	52,904	60,589	84,885	101,441	130,373	157,382
Reported net profit (mn)	3,409	8,713	10,410	16,482	20,350	27,516	33,819
Normalised net profit (mn)	3,409	8,713	10,410	16,482	20,350	27,516	33,819
FD normalised EPS	11.57	29.19	34.43	55.22	67.30	92.18	111.84
FD norm. EPS growth (%)	22.0	152.2	197.5	89.2	95.5	66.9	66.2
FD normalised P/E (x)	136.5	–	45.9	–	23.5	–	14.1
EV/EBITDA (x)	95.7	–	32.2	–	16.7	–	10.1
Price/book (x)	24.5	–	16.8	–	11.0	–	7.3
Dividend yield (%)	0.5	–	1.4	–	2.7	–	4.4
ROE (%)	20.7	39.5	45.4	52.9	59.4	60.4	64.9
Net debt/equity (%)	17.6	29.2	37.5	35.0	41.0	22.0	23.9

Source: Company data, Nomura estimates

Rating Remains **Buy**

Target price Increased from TWD 1,710.00 **TWD 2,115.00**

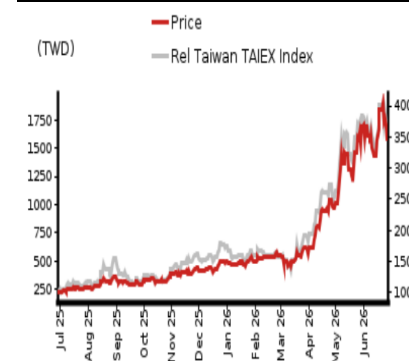
Closing price 26 June 2026 **TWD 1,580.00**

Implied upside **+33.9%**

Market Cap (USD mn) 14,307.9

ADT (USD mn) 261.2

Relative performance chart



Source: LSEG, Nomura

Research Analysts

Taiwan Technology

Eric Chen, CFA - NITB

eric.chen@nomura.com

+886(2) 21769965

Anne Lee, CFA - NITB

anne.lee@nomura.com

+886(2) 21769966

Carol Hu - NITB

carol.r.hu@nomura.com

+886(2) 21769963

Key data on TUC

Performance

(%)	1M	3M	12M		
Absolute (TWD)	0.0	160.7	610.1	M cap (USDmn)	14,307.9
Absolute (USD)	-1.3	161.0	546.2	Free float (%)	86.7
Rel to Taiwan	-2.4	127.0	511.9	3-mth ADT (USDmn)	261.2
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	23,070	30,340	60,589	101,441	157,382
Cost of goods sold	-17,729	-23,442	-43,807	-70,771	-108,171
Gross profit	5,342	6,898	16,781	30,670	49,212
SG&A	-2,010	-2,554	-2,974	-3,480	-4,076
Employee share expense	0	0	0	0	0
Operating profit	3,332	4,344	13,808	27,190	45,135
EBITDA	3,784	4,803	14,473	28,347	46,652
Depreciation	-452	-459	-666	-1,157	-1,517
Amortisation	0	0	0	0	0
EBIT	3,332	4,344	13,808	27,190	45,135
Net interest expense	91	42	-103	-237	-342
Associates & JCEs	0	0	0	0	0
Other income	-45	133	53	0	0
Earnings before tax	3,378	4,519	13,757	26,953	44,793
Income tax	-773	-1,109	-3,347	-6,604	-10,974
Net profit after tax	2,604	3,409	10,410	20,350	33,819
Minority interests	0	0	0	0	0
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	2,604	3,409	10,410	20,350	33,819
Extraordinary items	0	0	0	0	0
Reported NPAT	2,604	3,409	10,410	20,350	33,819
Dividends	-1,797	-2,168	-6,246	-12,210	-20,291
Transfer to reserves	807	1,241	4,164	8,140	13,527

Valuations and ratios

Reported P/E (x)	165.2	130.2	43.8	22.4	13.5
Normalised P/E (x)	165.2	130.2	43.8	22.4	13.5
FD normalised P/E (x)	166.6	136.5	45.9	23.5	14.1
Dividend yield (%)	0.4	0.5	1.4	2.7	4.4
Price/cashflow (x)	640.3	781.2	—	78.2	30.5
Price/book (x)	30.4	24.5	16.8	11.0	7.3
EV/EBITDA (x)	120.1	95.7	32.2	16.7	10.1
EV/EBIT (x)	136.4	105.8	33.8	17.4	10.4
Gross margin (%)	23.2	22.7	27.7	30.2	31.3
EBITDA margin (%)	16.4	15.8	23.9	27.9	29.6
EBIT margin (%)	14.4	14.3	22.8	26.8	28.7
Net margin (%)	11.3	11.2	17.2	20.1	21.5
Effective tax rate (%)	22.9	24.6	24.3	24.5	24.5
Dividend payout (%)	69.0	63.6	60.0	60.0	60.0
ROE (%)	20.1	20.7	45.4	59.4	64.9
ROA (pretax %)	19.6	16.0	28.9	35.1	40.5

Growth (%)

Revenue	44.2	31.5	99.7	67.4	55.1
EBITDA	100.8	26.9	201.4	95.9	64.6
Normalised EPS	213.6	26.9	197.1	95.5	66.2
Normalised FDEPS	213.7	22.0	197.5	95.5	66.2

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	3,784	4,803	14,473	28,347	46,652
Change in working capital	-2,426	-2,953	-12,703	-15,398	-19,682
Other operating cashflow	-681	-1,254	-3,293	-6,841	-11,316
Cashflow from operations	677	596	-1,523	6,108	15,654
Capital expenditure	-1,194	-1,948	-5,242	-6,594	-1,574
Free cashflow	-517	-1,352	-6,764	-485	14,080
Reduction in investments	-69	-4,706	1,686	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	133	152	1	0	0
CF after investing acts	-453	-5,906	-5,077	-485	14,080
Cash dividends	-1,090	-1,797	-2,168	-6,246	-12,210
Equity issue	0	0	0	0	0
Debt issue	2,353	6,655	4,062	6,000	1,000
Convertible debt issue	0	0	0	0	0
Others	511	-67	339	0	0
CF from financial acts	1,775	4,791	2,233	-246	-11,210
Net cashflow	1,322	-1,115	-2,844	-731	2,870
Beginning cash	4,958	6,280	5,165	2,321	1,590
Ending cash	6,280	5,165	2,321	1,590	4,460
Ending net debt	-1,869	3,280	10,205	16,936	15,066

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	6,280	5,165	2,321	1,590	4,460
Marketable securities	757	5,437	3,744	3,744	3,744
Accounts receivable	9,786	13,987	29,075	47,260	70,488
Inventories	3,189	7,405	15,776	25,077	36,912
Other current assets	252	357	345	345	345
Total current assets	20,264	32,351	51,261	78,015	115,948
LT investments	0	4	17	17	17
Fixed assets	4,339	5,565	9,771	15,208	15,264
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	1,275	1,820	2,227	2,227	2,227
Total assets	25,878	39,741	63,275	95,466	133,456
Short-term debt	962	2,141	2,470	2,470	2,470
Accounts payable	5,499	10,320	20,503	32,591	47,972
Other current liabilities	1,412	2,160	2,720	2,720	2,720
Total current liabilities	7,873	14,621	25,693	37,780	53,162
Long-term debt	3,449	6,304	10,057	16,057	17,057
Convertible debt	0	0	0	0	0
Other LT liabilities	219	203	314	314	314
Total liabilities	11,541	21,127	36,063	54,151	70,532
Minority interest	0	0	0	0	0
Preferred stock	0	0	0	0	0
Common stock	5,690	8,396	8,416	8,416	8,416
Retained earnings	8,467	10,070	18,312	32,416	54,025
Proposed dividends	0	0	0	0	0
Other equity and reserves	180	148	484	484	484
Total shareholders' equity	14,337	18,614	27,212	41,315	62,924
Total equity & liabilities	25,878	39,741	63,275	95,466	133,456

Liquidity (x)

Current ratio	2.57	2.21	2.00	2.06	2.18
Interest cover	—	—	133.6	114.7	131.9

Leverage

Net debt/EBITDA (x)	net cash	0.68	0.71	0.60	0.32
Net debt/equity (%)	net cash	17.6	37.5	41.0	23.9

Per share

Reported EPS (TWD)	9.56	12.13	36.05	70.47	117.11
Norm EPS (TWD)	9.56	12.13	36.05	70.47	117.11
FD norm EPS (TWD)	9.49	11.57	34.43	67.30	111.84
BVPS (TWD)	51.95	64.47	94.22	143.05	217.87
DPS (TWD)	6.51	7.51	21.63	42.28	70.26

Activity (days)

Days receivable	154.8	143.0	129.7	137.3	136.9
Days inventory	65.7	82.5	96.6	105.3	104.9
Days payable	113.2	123.1	128.4	136.9	136.3
Cash cycle	107.3	102.3	97.9	105.8	105.5

Source: Company data, Nomura estimates

Company profile

Taiwan Union Technology Corporation (TUC) manufactures copper clad laminate (CCL) products and provides mass lamination services to its PCB customers. The company also produces prepreg (PP) products.

Valuation Methodology

Our TP of TWD2,115.0 is based on 30x 2027F EPS of TWD70.5. Our target multiple of 30x is at the high end of its historical range of 10-33x since 2017 as we think the stock will be re-rated given substantial upgrades of CCL specs and surging AI demand. The benchmark of this stock is TAIEX.

Risks that may impede the achievement of the target price

Downside risks: 1) demand for 400G/800G switches and AI server for use in datacentres is weaker than expected; 2) slower-than-expected progress in AI server/ 800G switch, 3) weaker-than-expected automotive demand, 4) macro headwinds such as economy slowdown, raw material price hikes, unfavorable FX, etc.

ESG

TUC is committed to increasing the utilization efficiency of various resources, promoting water and power saving, as well as use of recycled and renewable paper, and recycling to decrease waste of resources. In order to safeguard social rights and interests, TUC establishes relevant management procedures and rules in accordance with related laws and regulations as well as international human rights conventions.

Fig. 1: TUC: earnings estimate revisions

(TWD mn)	New forecasts			Previous forecasts			Change (%)		
	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	60,589	101,441	157,382	52,904	84,885	130,373	14.5	19.5	20.7
Gross profit	16,781	30,670	49,212	14,559	25,504	40,804	15.3	20.3	20.6
Operating profit	13,808	27,190	45,135	11,586	22,024	36,728	19.2	23.5	22.9
Pretax profit	13,757	26,953	44,793	11,553	21,830	36,444	19.1	23.5	22.9
Net profit	10,410	20,350	33,819	8,713	16,482	27,516	19.5	23.5	22.9
EPS (TWD)	36.05	70.47	117.11	30.15	57.03	95.21	19.6	23.6	23.0
Margins (%)									
Gross margin	27.7	30.2	31.3	27.5	30.0	31.3	0.2	0.2	(0.0)
Operating margin	22.8	26.8	28.7	21.9	25.9	28.2	0.9	0.9	0.5
Pretax margin	22.7	26.6	28.5	21.8	25.7	28.0	0.9	0.9	0.5
Net margin	17.2	20.1	21.5	16.5	19.4	21.1	0.7	0.6	0.4

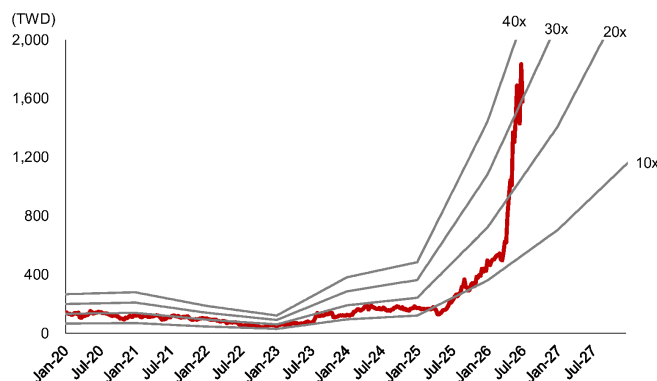
Source: Nomura estimates

Fig. 2: TUC: quarterly financial forecasts

(TWD mn)	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26F	3Q26F	4Q26F	2026F	1Q27F	2Q27F	3Q27F	4Q27F	2027F	2028F
Revenue	6,372	6,780	8,063	9,125	30,340	10,054	14,397	17,187	18,951	60,589	20,299	23,480	26,859	30,803	101,441	157,382
COGS	4,839	5,345	6,148	7,110	23,442	7,525	10,511	12,317	13,454	43,807	14,278	16,403	18,703	21,386	70,771	108,171
Gross profit	1,533	1,435	1,915	2,015	6,898	2,529	3,886	4,870	5,497	16,781	6,021	7,077	8,155	9,417	30,670	49,212
Op expenses	(598)	(583)	(649)	(725)	(2,554)	(701)	(729)	(761)	(783)	(2,974)	(815)	(842)	(898)	(925)	(3,480)	(4,076)
Operating profit	935	853	1,266	1,290	4,344	1,828	3,157	4,110	4,713	13,808	5,206	6,235	7,257	8,492	27,190	45,135
Non-op income	(1)	(13)	52	136	175	46	(15)	(37)	(44)	(51)	(45)	(41)	(73)	(78)	(237)	(342)
Pretax profit	935	840	1,318	1,427	4,519	1,874	3,142	4,072	4,669	13,757	5,161	6,194	7,184	8,414	26,953	44,793
Net profit	672	652	1,003	1,083	3,409	1,260	2,419	3,136	3,595	10,410	3,897	4,676	5,424	6,353	20,350	33,819
Basic EPS (TWD)	2.43	2.36	3.58	3.85	12.13	4.36	8.38	10.86	12.45	36.05	13.49	16.19	18.78	22.00	70.47	117.11
Operating ratios																
Gross margin	24.1%	21.2%	23.7%	22.1%	22.7%	25.1%	27.0%	28.3%	29.0%	27.7%	29.7%	30.1%	30.4%	30.6%	30.2%	31.3%
Opex ratio	-9.4%	-8.6%	-8.1%	-7.9%	-8.4%	-7.0%	-5.1%	-4.4%	-4.1%	-4.9%	-4.0%	-3.6%	-3.3%	-3.0%	-3.4%	-2.6%
Operating margin	14.7%	12.6%	15.7%	14.1%	14.3%	18.2%	21.9%	23.9%	24.9%	22.8%	25.6%	26.6%	27.0%	27.6%	26.8%	28.7%
Pretax margin	14.7%	12.4%	16.3%	15.6%	14.9%	18.6%	21.8%	23.7%	24.6%	22.7%	25.4%	26.4%	26.7%	27.3%	26.6%	28.5%
Net margin	10.5%	9.6%	12.4%	11.9%	11.2%	12.5%	16.8%	18.2%	19.0%	17.2%	19.2%	19.9%	20.2%	20.6%	20.1%	21.5%
Year-to-year																
Revenue	43.7%	18.9%	21.8%	44.6%	31.5%	57.8%	112.3%	113.2%	107.7%	99.7%	101.9%	63.1%	56.3%	62.5%	67.4%	55.1%
Gross profit	51.5%	5.3%	27.4%	37.7%	29.1%	64.9%	170.7%	154.3%	172.8%	143.3%	138.1%	82.1%	67.5%	71.3%	82.8%	60.5%
Operating profit	65.7%	-1.6%	30.6%	38.4%	30.4%	95.4%	270.3%	224.7%	265.3%	217.9%	184.9%	97.5%	76.6%	80.2%	96.9%	66.0%
Pretax profit	56.4%	-4.4%	37.0%	51.7%	33.8%	100.4%	274.2%	209.1%	227.3%	204.5%	175.4%	97.2%	76.4%	80.2%	95.9%	66.2%
Net profit	48.7%	-6.0%	33.0%	53.6%	30.9%	87.5%	271.2%	212.8%	232.0%	205.4%	209.3%	93.3%	73.0%	76.7%	95.5%	66.2%
Qtr-to-Qtr																
Revenue	1.0%	6.4%	18.9%	13.2%		10.2%	43.2%	19.4%	10.3%		7.1%	15.7%	14.4%	14.7%		
Gross profit	4.7%	-6.4%	33.4%	5.2%		25.5%	53.7%	25.3%	12.9%		9.5%	17.5%	15.2%	15.5%		
Operating profit	0.4%	-8.9%	48.4%	1.9%		41.7%	72.8%	30.2%	14.7%		10.5%	19.8%	16.4%	17.0%		
Pretax profit	-0.6%	-10.2%	56.9%	8.3%		31.4%	67.7%	29.6%	14.7%		10.5%	20.0%	16.0%	17.1%		
Net profit	-4.7%	-3.0%	53.8%	8.0%		16.4%	92.0%	29.6%	14.7%		8.4%	20.0%	16.0%	17.1%		

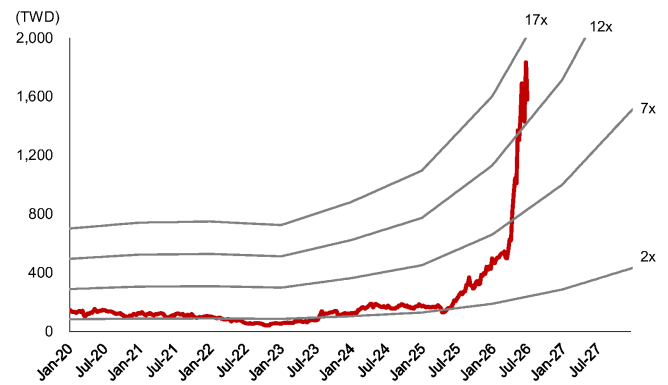
Source: Company data, Nomura estimates

Fig. 3: TUC: forward P/E band



Source: TEJ, Nomura estimates

Fig. 4: TUC: forward P/B band



Source: TEJ, Nomura estimates

Appendix A-1

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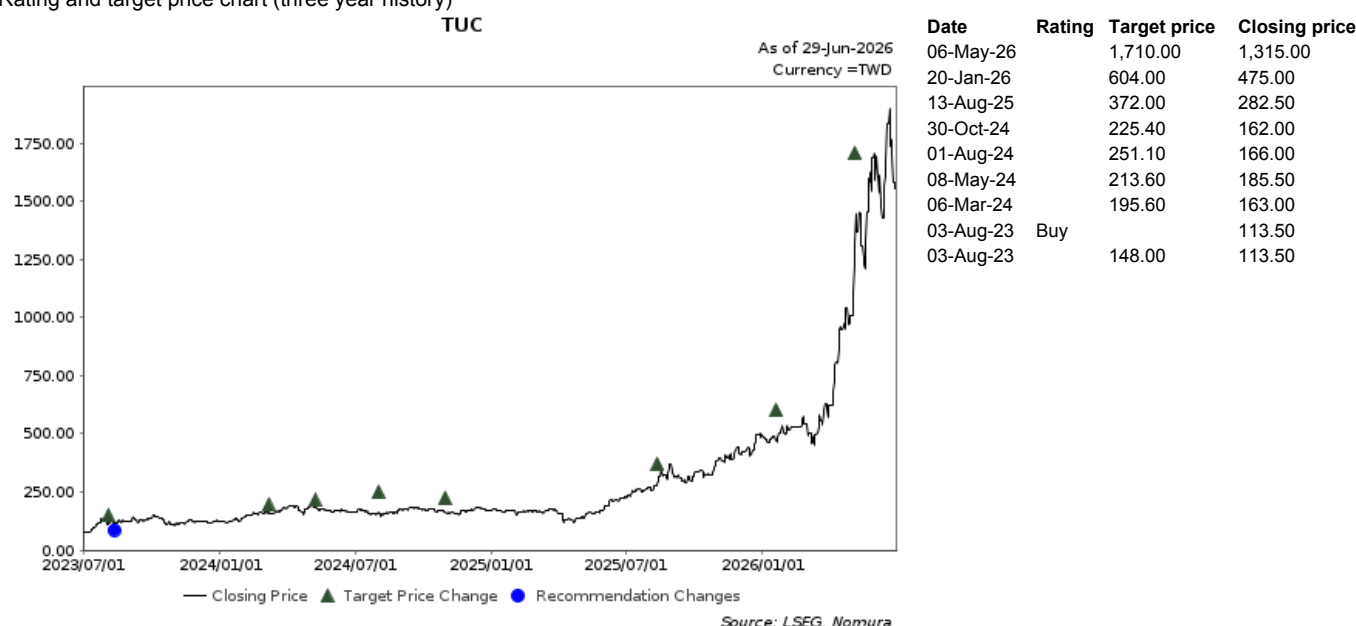
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
TUC	6274 TT	TWD 1,580.00	26-Jun-2026	Buy	N/A	

TUC (6274 TT)

TWD 1,580.00 (26-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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As at 31 March 2026.

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** As defined by the EU Market Abuse Regulation

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The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at:

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A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

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